AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Shopify Inc.

NASDAQ : SHOP · Mature-Company DCF

$226.41B mkt cap · 1.30B sh · $5.778B cash, zero debt · Net cash ~$5.8B, no debt; ~1.30B fully-diluted shares; a $2B buyback underway; Revenue $11.56B FY25 (+34%); GAAP op margin 12.7%; FCF ~$2.0B (~17%); ex-SBC owner FCF is the cash signal (SBC ~4-5%); ~$174, up ~8% YTD, ~4% off the $182 high; GMV $100.7B/+35% in Q1, Payments 67% of GMV

22 October 2026 · the qualitative

$174.29

THE CENTRAL QUESTION

Does agentic-AI commerce make Shopify the merchant rails for AI shopping agents, or disintermediate the storefront it sells?

Shopify trades at ~$226.4B (~$174.29, ~4% off the $182 high) — ~49x forward / ~109x trailing FCF on revenue and GMV growing ~34-35%, net cash ~$5.8B, FCF ~$2.0B (~17%). The headline GAAP net loss is a non-cash equity-investment mark; ex-that, earnings are ~$360M. The bull is durable 30%+ GMV compounding, take-rate expansion (Payments at 67% of GMV), and agentic commerce making Shopify the rails for AI shopping agents; the bear is AI disintermediating the storefront plus macro cyclicality on GMV. The weighted DCF lands -47.3% (~$92): a great franchise, still priced for the win.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -49.3% · 92% at or below spot

$91.88 expected fair value today

-47.3% vs spot $174.29

FORWARD COMPOUNDED VALUE

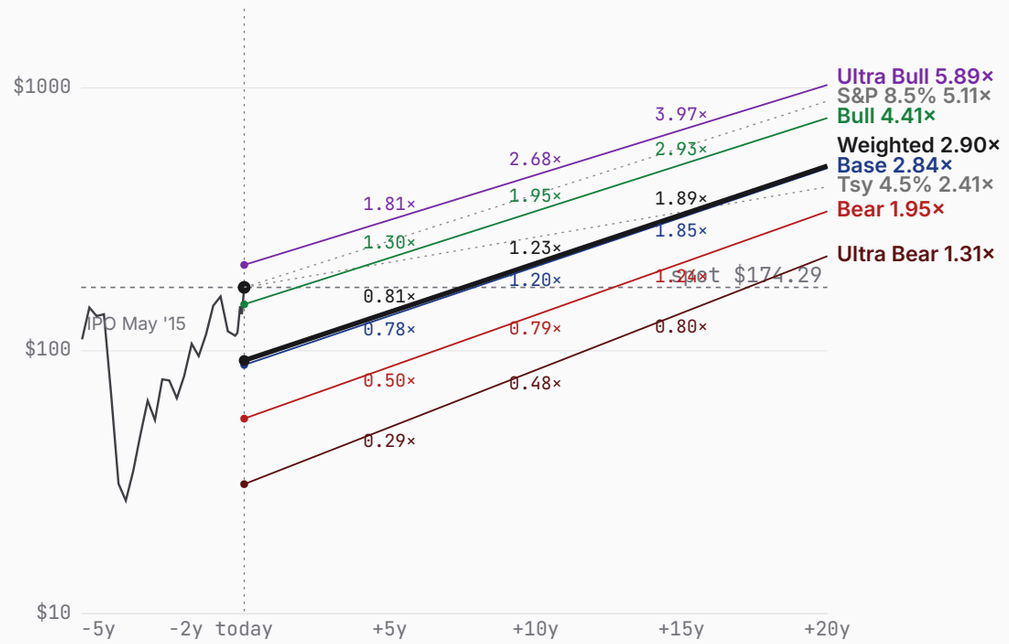
+5y	+10y	+15y	+20y
$140.52	$215.06	$329.38	$504.83
0.81× spot	1.23× spot	1.89× spot	2.90× spot

WEIGHTING RATIONALE

Ultra Bear 15% AI disintermediates the storefront; growth fades; ~$31 (-82%).
Bear 27% Growth decelerates and the multiple compresses; ~$55 (-68%).
Base 32% 30%+ GMV grinds to ~$25B revenue but stays rich; ~$88 (-49%).
Bull 18% Take-rate + agentic rails compound; $150 (-14%).
Ultra Bull 8% The commerce OS for AI shopping; ~$212 (+22%).

Bull (18%) + Ultra Bull (8%) together contribute $44.02 — 48% of the $91.88 expected value despite 26% combined probability. Today's spot ($174.29) sits 90% above the weighted expected; the forward-weighted value reaches spot in about 8 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$31.11	$55.23	$88.38	$150.26	$212.20
-82.2% vs spot	-68.3% vs spot	-49.3% vs spot	-13.8% vs spot	+21.8% vs spot
CAGR +7.2% WACC 10.5% CAGR +7.2% Prob 15%	CAGR +12.5% WACC 9.5% CAGR +12.5% Prob 27%	CAGR +17.5% WACC 9.0% CAGR +17.5% Prob 32%	CAGR +21.4% WACC 8.5% CAGR +21.4% Prob 18%	CAGR +25.9% WACC 8.2% CAGR +25.9% Prob 8%
AI disintermediates the storefront.	Growth decelerates; multiple compresses.	30%+ GMV grinds to ~$25B revenue; still rich.	Take-rate + agentic rails compound.	The commerce OS for the AI-shopping era.

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Shopify Inc. scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 32% Bull 18% Ultra Bull 8% · Weighted expected $91.88 (-47.3% vs spot)

ULTRA BEAR $31.11

-82.2% vs spot

Probability 15%

AI disintermediates the storefront.

WHY 15%

The genuine bear, sharpened by the June-2026 software-sector AI-disruption selloff: if agents disintermediate storefronts, the whole premium unwinds. 15% on the swing factor breaking against Shopify.

WHAT HAPPENS

Agentic commerce routes around the merchant storefront: AI shopping agents transact directly with brands and marketplaces, GMV growth halves toward low-double then mid-single digits, and take-rate gains stall as Shopify becomes a commoditized back-end. A consumer/macro downturn compounds the GMV hit; revenue compounds ~7% as the platform de-rates.

A decelerating platform losing its distribution edge earns a compressed ~3.8-4x sales / ~14x FCF terminal → DCF ~$31 (-82%). Net cash sets a floor, but a richly-priced growth name re-rates hard when the growth and the moat both fade.

BEAR $55.23

-68.3% vs spot

Probability 27%

Growth decelerates; multiple compresses.

WHY 27%

Deceleration at scale plus multiple compression is the base-rate path for a richly-valued grower. 27% as the plausible 'still grows, but the premium leaks out' outcome.

WHAT HAPPENS

GMV keeps compounding but decelerates faster than the bulls expect as the law of large numbers and a soft consumer bite; take-rate expansion continues (Payments penetration) but operating leverage is gradual. Revenue compounds ~12% to the high-$20Bs at a ~22% FCF margin — solid, but not enough to support today's multiple.

DCF ~$55 (-68%) — a high-quality but maturing platform re-rates toward ~6x sales / ~18x FCF; the market's premium is unwarranted if growth normalizes without an AI-driven second leg.

BASE $88.38

-49.3% vs spot

Probability 32%

30%+ GMV grinds to ~$25B revenue; still rich.

WHY 32%

Requires GMV to keep compounding and FCF margin to inflect on operating leverage — consistent with four straight mid-teens-FCF-margin quarters and the take-rate runway, but not a re-acceleration. 32% as the central, clearly negative outcome.

WHAT HAPPENS

The modal path: GMV keeps compounding ~20%+ decelerating to mid-teens, Payments penetration and attach (Installments, Tax, Capital) lift take-rate, and operating leverage carries FCF margin toward ~26%. Agentic commerce is a tailwind, not a step-change. Revenue compounds ~17% to ~$25B.

DCF ~$88 (-49%) — even durable high-teens growth and FCF inflection only support roughly ~8x sales / ~22x FCF, well below today's price. The modal case still prices the win, so it lands short of fair.

BULL $150.26

-13.8% vs spot

Probability 18%

Take-rate + agentic rails compound.

WHY 18%

Shopify's GMV compounding, take-rate runway, and early agentic-commerce traction make a durable second leg credible. ~18% weight on the swing factor breaking Shopify's way.

WHAT HAPPENS

Durable 30%+ GMV compounding holds: Payments climbs above 67% of GMV, the attach suite (Installments, Tax, Capital, Markets, offline POS) widens take-rate, Plus/enterprise and international keep mix premium, and agentic commerce makes Shopify the default rails for AI shopping agents (AI traffic +8x, AI orders +15x YoY). FCF margin inflects toward ~31% on operating leverage. Revenue compounds ~21% to the low-$30Bs.

DCF ~$150 (-14%) - if take-rate expansion and an AI-distribution second leg land, the franchise re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $212.20

+21.8% vs spot

Probability 8%

The commerce OS for the AI-shopping era.

WHY 8%

Everything works - GMV AND take-rate AND agentic distribution AND a multiple re-rate, the platform-second-act outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: Shopify becomes the indispensable merchant infrastructure for the agentic-commerce era — the rails every AI shopping agent transacts through — while Payments, capital-markets, and enterprise penetration push take-rate and FCF margin to ~34%. GMV compounds ~30%+ for longer than the base assumes; revenue compounds ~26% to the mid-$30Bs.

DCF ~$212 (+22%) - the platform reclaims and extends a premium compounder multiple; ~8% probability, the asymmetric upside the entry is buying.

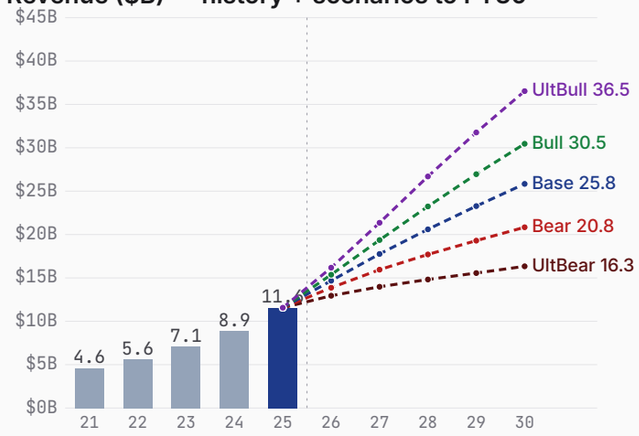
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Shopify Inc. business snapshot

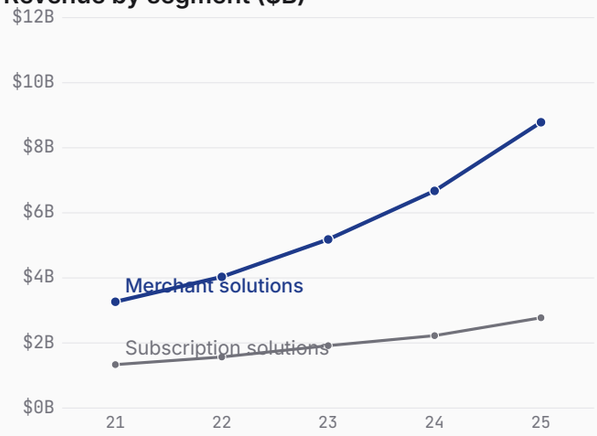
Bear $55.23 Base $88.38 Bull $150.26

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results

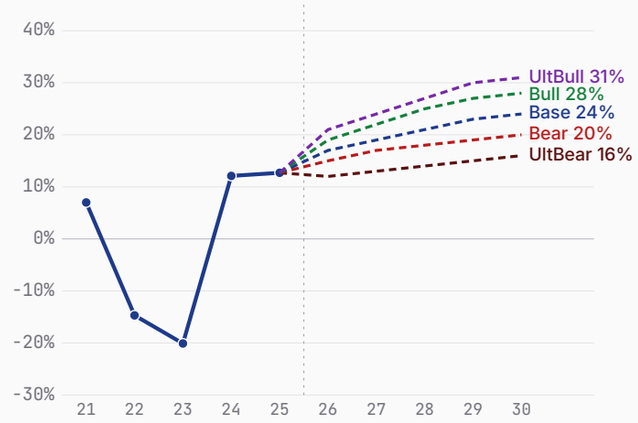
Revenue ($B) — history + scenarios to FY30



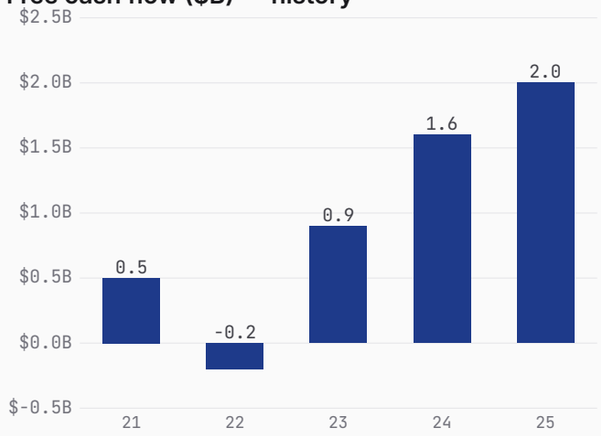
Revenue by segment ($B)



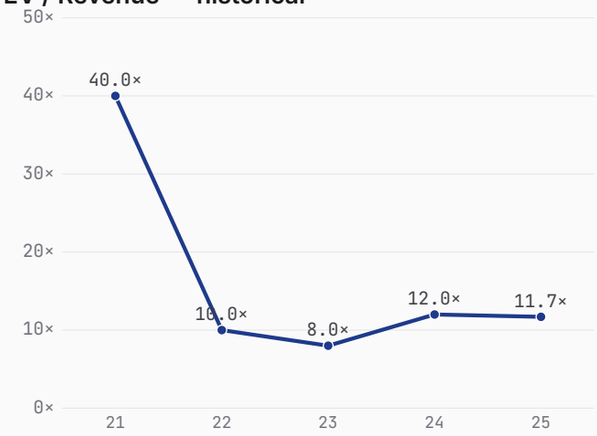
Op margin — history + scenarios



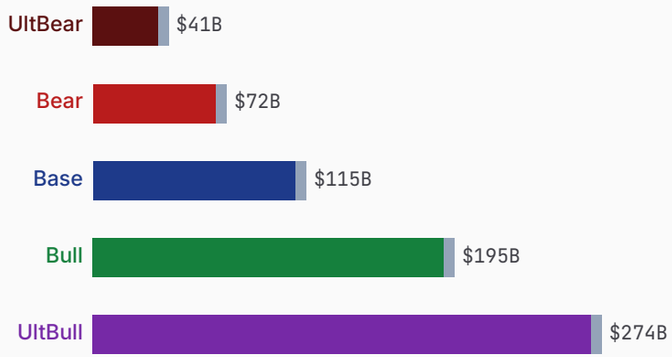
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1594805), Shopify Q1 FY2026 release (GMV $100.7B/+35%, revenue $3.17B/+34%, GAAP operating income $382M/+88%, FCF $476M/15% margin, Shopify Payments 67% of GMV, MRR $212M/+16%). GAAP net loss reflects a $1,061M unrealized loss on equity investments; ex-investment net income ~$360M. FCF = revenue x FCF margin (ex-SBC owner FCF); Gordon terminal at scenario WACC. EV/sales & EV/FCF vs platform peers (AMZN/MELI/SQ/BIGC).

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Shopify Inc. 7 Powers · the moat, scored

Bear $55.23 Base $88.38 Bull $150.26

Arena. E-commerce / commerce-platform infrastructure - Shopify (the commerce OS for ~merchants of all sizes, GMV ~$100B/quarter) vs Amazon (marketplace + logistics), MercadoLibre, Block/Square, BigCommerce, WooCommerce, and the AI-agent commerce layer (ChatGPT/Gemini); auditing a network/switching-cost Power against an AI-distribution threat.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Real R&D/infrastructure leverage at ~$11.6B revenue and ~$100B/quarter GMV - payments routing, fraud, fulfillment - spread across the largest non-Amazon merchant base, though Amazon is far larger.
Network Economies ◂ thesis leans here ■■■	The dominant Power: a two-sided merchant + app/partner/developer ecosystem (themes, apps, agencies, Shop app shoppers) where each side makes the platform more valuable to the other - the deepest moat, now tested by AI distribution.
Counter-Positioning ■□□	Was the anti-Amazon 'arm the rebels' positioning; now the incumbent commerce OS, so this is largely spent as a Power.
Switching Costs ■■■	High: a merchant's entire operations - storefront, payments, inventory, apps, customer data, staff training - live on Shopify; ripping it out mid-business is costly and risky, hence ~$212M MRR with low churn.
Branding ■■□	A genuine brand among entrepreneurs/SMBs (the default 'start a store' choice) and increasingly enterprise via Plus, but brand isn't the primary economic Power here.
Cornered Resource ■□□	The merchant dataset and the Shop app's shopper graph are valuable, but not a truly cornered, exclusive resource.
Process Power ■■□	Strong shipping cadence and platform reliability at scale, plus margin/FCF discipline post-2022-23 cuts (opex -4pp to 37%); real but replicable.

PEER SET

Amazon (AMZN) — 11% gr · 11% mgn · ~12x EV/FCF
The marketplace + logistics giant; far larger GMV, the structural competitor and the 'own the customer' alternative to Shopify's 'arm the merchant'.

MercadoLibre (MELI) — 30% gr · 12% mgn · ~30x EV/FCF
LatAm commerce + fintech compounder; the closest 'commerce + payments flywheel' public comp, growing fast at scale.

Block / Square (SQ) — 10% gr · 10% mgn · ~14x EV/FCF
Payments + commerce for SMBs; overlaps on the merchant payments/lending stack at a lower multiple.

BigCommerce (BIGC) — 5% gr · ~1x EV/sales
Direct SaaS-commerce competitor; far smaller and slower-growing - the value end of the platform comp set.

THREAT VECTORS · FALSIFIERS

Network Economies · AI shopping agents (ChatGPT, Gemini, Google AI Mode, Copilot)
falsifier: AI-agent GMV grows but transacts around Shopify's rails - shoppers buy through agents that bypass the merchant storefront, eroding the ecosystem's value.

Switching Costs · An agent-native commerce stack / Amazon's agent rails
falsifier: Merchants add a parallel AI-agent sales channel that doesn't depend on Shopify, lowering the cost of running storefront-light.

Scale Economies · Amazon (marketplace + Buy with Prime + logistics)
falsifier: Amazon's logistics/agent advantages pull GMV and take-rate share, capping Shopify's monetization runway.

COMPETITIVE READ

Shopify's dominant Power is network economies - a two-sided merchant + app/partner/developer ecosystem reinforced by high switching costs (a merchant's whole operation lives on the platform, ~$212M MRR at low churn) - and that moat is durable (high). The live threat is the same agentic-AI variable that drives the scenarios: AI shopping agents either transact through Shopify's rails (deepening the network) or route around the storefront (disintermediating it), with AI traffic +8x / orders +15x YoY the early, unresolved signal. That single swing factor - expand-distribution vs disintermediate - is why the bull (-14%) and the ultra-bear (-82%) span such a wide range on the same fact. The Audit: a genuinely strong, durable Power, but priced for the win - ~49x forward FCF still embeds a premium that the modal case (-49%) doesn't support, so the weighted finding lands -47.3%.

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Shopify Inc. show your work

Bear $55.23 Base $88.38 Bull $150.26 · Weighted $91.88 (-47.3%)

ULTRA BEAR $31.11

ASSUMPTIONS

5y revenue CAGR (%)	+7.2
Year-5 op margin (%)	16.0
WACC (%)	10.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$3.10B
Starting revenue ($B)	11.56
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	12.94	+12%	+1.81	+1.64
FY27	13.98	+13%	+2.24	+1.83
FY28	14.82	+14%	+2.52	+1.87
FY29	15.56	+15%	+2.80	+1.88
FY30	16.34	+16%	+3.10	+1.88

Σ PV explicit FCF	**+9.10**
+ PV terminal (g 3.0%)	25.88

EQUITY BUILD · $B & PER SHARE

Operating EV	$34.98B
+ Cash & investments	$5.78B
= Equity value	**$40.76B**
FY30 shares (M)	1,310
= Expected per share	**$31.11**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$51.25	$84.44	$139.10	$229.16
0.29×	0.48×	0.80×	1.31×

BEAR $55.23

ASSUMPTIONS

5y revenue CAGR (%)	+12.5
Year-5 op margin (%)	20.0
WACC (%)	9.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$4.79B
Starting revenue ($B)	11.56
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.87	+15%	+2.50	+2.28
FY27	15.95	+17%	+3.19	+2.66
FY28	17.70	+18%	+3.72	+2.83
FY29	19.29	+19%	+4.25	+2.95
FY30	20.84	+20%	+4.79	+3.04

Σ PV explicit FCF	**+13.77**
+ PV terminal (g 3.5%)	52.52

EQUITY BUILD · $B & PER SHARE

Operating EV	$66.29B
+ Cash & investments	$5.78B
= Equity value	**$72.07B**
FY30 shares (M)	1,305
= Expected per share	**$55.23**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$86.95	$136.87	$215.47	$339.20
0.50×	0.79×	1.24×	1.95×

BASE $88.38

ASSUMPTIONS

5y revenue CAGR (%)	+17.5
Year-5 op margin (%)	24.0
WACC (%)	9.0
Terminal growth (%)	4.0
Terminal FCF ($B)	$6.72B
Starting revenue ($B)	11.56
Scenario probability (%)	32

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	14.68	+17%	+2.94	+2.69
FY27	17.76	+19%	+3.91	+3.29
FY28	20.60	+21%	+4.94	+3.82
FY29	23.28	+23%	+5.82	+4.12
FY30	25.84	+24%	+6.72	+4.37

Σ PV explicit FCF	**+18.29**
+ PV terminal (g 4.0%)	90.82

EQUITY BUILD · $B & PER SHARE

Operating EV	$109.11B
+ Cash & investments	$5.78B
= Equity value	**$114.89B**
FY30 shares (M)	1,300
= Expected per share	**$88.38**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$135.98	$209.23	$321.92	$495.32
0.78×	1.20×	1.85×	2.84×

BULL $150.26

ASSUMPTIONS

5y revenue CAGR (%)	+21.4
Year-5 op margin (%)	28.0
WACC (%)	8.5
Terminal growth (%)	4.5
Terminal FCF ($B)	$9.44B
Starting revenue ($B)	11.56
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	15.37	+19%	+3.54	+3.26
FY27	19.37	+22%	+5.04	+4.28
FY28	23.24	+25%	+6.51	+5.09
FY29	26.96	+27%	+8.09	+5.83
FY30	30.46	+28%	+9.44	+6.28

Σ PV explicit FCF	**+24.74**
+ PV terminal (g 4.5%)	164.07

EQUITY BUILD · $B & PER SHARE

Operating EV	$188.81B
+ Cash & investments	$5.78B
= Equity value	**$194.59B**
FY30 shares (M)	1,295
= Expected per share	**$150.26**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$225.94	$339.74	$510.85	$768.14
1.30×	1.95×	2.93×	4.41×

ULTRA BULL $212.20

ASSUMPTIONS

5y revenue CAGR (%)	+25.9
Year-5 op margin (%)	31.0
WACC (%)	8.2
Terminal growth (%)	4.5
Terminal FCF ($B)	$12.42B
Starting revenue ($B)	11.56
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	16.18	+21%	+4.04	+3.74
FY27	21.36	+24%	+5.98	+5.11
FY28	26.69	+27%	+8.28	+6.53
FY29	31.77	+30%	+10.48	+7.65
FY30	36.53	+31%	+12.42	+8.38

Σ PV explicit FCF	**+31.40**
+ PV terminal (g 4.5%)	236.56

EQUITY BUILD · $B & PER SHARE

Operating EV	$267.96B
+ Cash & investments	$5.78B
= Equity value	**$273.74B**
FY30 shares (M)	1,290
= Expected per share	**$212.20**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$314.69	$466.68	$692.08	$1,026.34
1.81×	2.68×	3.97×	5.89×

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Shopify Inc. People · Opportunity · Context · Deal

Bear $55.23 Base $88.38 Bull $150.26

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Tobi Lütke · `founder-led` — 20 yrs in seat

6.1%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
No dividend; a first buyback began in 2026 (~$1.9B repurchased in H1 per the 10-Qs); cash also funds R&D, marketable securities, and equity/merchant-lending investments. The notable observable course-correction: the 2022 ~$2.1B Deliverr acquisition (its largest ever) was reversed in 2023, selling Shopify Logistics to Flexport for a ~13% Flexport equity stake. SBC ~$546M in FY2024 (down ~30% YoY).

Incentive alignment
US$1 salary, no cash bonus; paid in equity grants (~$20M/yr — FY2023 total comp $20,000,008 = $1 cash + ~$20M equity). Carries the combined title of Chair, CEO, and Head of R&D. Alignment runs through the founder stake rather than fresh cash pay.

GOVERNANCE FLAGS

- dual-class: Class B multiple-voting shares = 10 votes each (~9.5% of equity, ~51% of votes)
- 2022 founder share tops Lütke up to ~40% of votes for life while he serves as director/officer/consultant — holds even if his economic stake falls to ~1.1%
- combined Chair + CEO (also Head of R&D)
- founder share is non-transferable; sunsets only if Lütke leaves the company

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`-47.3% vs spot $174.29`

PEOPLE READ

Founder-CEO holding ~6.1% economic but ~40% of the vote via Class B multiple-voting shares plus the 2022 founder share (which floors his voting control near 40% regardless of dilution); $1 salary, equity-paid, no dividend (a first buyback in 2026), with the 2023 Flexport logistics divestiture as the observable capital-allocation course-correction.

Shopify Inc. supporting analysis · disclaimers · glossary

Bear $55.23 Base $88.38 Bull $150.26

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The de-rate corrected an excess, it didn't create a bargain.**
Up ~8% YTD; ~49x forward / ~109x trailing FCF still prices the win — the modal DCF is ~-49%; the premium on 34% growth is the constraint.

2 **The GAAP net loss is not the earnings signal.**
The -$581M Q1 net loss is a $1,061M non-cash mark on equity investments; ex-that, net income is ~$360M and FCF was +$476M — cash-generative.

3 **Take-rate expansion is the quiet compounder.**
Shopify Payments is already 67% of GMV, and attach (Installments, Tax, Capital) lifts revenue per dollar of GMV — monetization is rising.

4 **Agentic commerce is the same variable for the bull and the bear.**
AI traffic +8x and AI orders +15x YoY could make Shopify the merchant rails for AI agents (bull) or route around the storefront (bear) — opposite signs.

5 **Net cash; no solvency risk.**
~$5.8B cash, no debt, ~$2.0B FCF and a $2B buyback — no solvency risk; the downside is the multiple and the AI-distribution question, not survival.

FALSIFICATION TRIGGERS

Bull validation

GMV growth holds 30%+ for 4+ quarters · take-rate (revenue / GMV) keeps rising as Payments climbs past 67% · AI-agent orders scale into a material GMV channel · FCF margin expands toward 25-30%

Bear validation

GMV growth decelerates below ~15% on a soft consumer · take-rate flattens as Payments penetration tops out · AI agents transact around merchant storefronts (GMV per merchant stalls) · FCF margin stops inflecting

Reframe needed

if agentic commerce demonstrably disintermediates the storefront - AI-agent GMV grows but bypasses Shopify's rails - re-rate the terminal toward a commoditized back-end multiple, not a distribution-moat platform

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GMV — Gross merchandise volume - the total dollar value of orders processed across all Shopify merchants (~$100.7B/+35% in Q1); the top-of-funnel volume that take-rate monetizes.

Agentic commerce — Transactions initiated by AI shopping agents (ChatGPT, Copilot, Gemini) - the swing factor: it either makes Shopify the merchant rails for AI shopping or disintermediates the storefront.

Take-rate — Revenue earned per dollar of GMV; rising as Shopify Payments (67% of GMV) and attached services (Installments, Tax, Capital, Markets) monetize more of each transaction - the quiet compounder.

FCF margin — Free cash flow / revenue (~17% FY25, ex-SBC owner FCF; SBC ~4-5%); the mature-DCF swing factor - whether GMV growth and take-rate expansion convert into expanding free cash flow.

Merchant vs Subscription solutions — The two segments: Merchant solutions (~76% of revenue, take-rate-driven) and Subscription solutions (recurring SaaS MRR, ~$212M/+16%); the mix is shifting toward lower-margin Merchant.